

Introduction to Financial Modeling — handout

Lesson Forge Pro (owner)

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Lesson plan

Introduction to Financial Modeling

Bloom's levels: Remember, Understand

Objectives

- Define financial modeling and its importance in investment decisions
- Identify the key components of financial modeling
- Explain the role of financial modeling in corporate finance and investment contexts

Prerequisites

- None

Key points

Introduction to Financial Modeling

Session Overview

In this 90-minute session, we will introduce the concept of financial modeling, its importance in investment decisions, and the key components involved. By the end of this session, learners will be able to define financial modeling, identify its key components, and explain its role in corporate finance and investment contexts.

Timed Agenda

1. Introduction and Icebreaker (5 minutes, 0:00-0:05)
2. Defining Financial Modeling (15 minutes, 0:05-0:20)
3. Key Components of Financial Modeling (20 minutes, 0:20-0:40)
4. Energizer/Break (5 minutes, 0:40-0:45)
5. Role of Financial Modeling in Corporate Finance and Investment (20 minutes, 0:45-1:05)
6. Conclusion and Q&A (20 minutes, 1:05-1:25)
7. Final Thoughts and Next Steps (5 minutes, 1:25-1:30)

Introduction and Icebreaker (0:00-0:05)

Welcome learners and briefly introduce the topic of financial modeling. Ask learners to share their prior knowledge or experience with financial modeling. This will help establish a baseline understanding and encourage participation throughout the session.

Defining Financial Modeling (0:05-0:20)

- Talking Points:

- Financial modeling is the process of creating a mathematical representation of a company's financial situation.
- It involves using historical data and assumptions to forecast future financial performance.
- Financial models are used to support investment decisions, such as mergers and acquisitions, and to evaluate the potential impact of different business strategies.
- Analogy: Think of financial modeling like building a map. Just as a map helps you navigate through unfamiliar territory, a financial model helps you navigate through the complexities of a company's financial situation and make informed decisions.
- Example: The Microsoft-sponsored ModelOff Financial Modeling World Championships is an example of how financial modeling is used in a competitive setting to test speed and accuracy in modeling.

Key Components of Financial Modeling (0:20-0:40)

- Talking Points:

- Financial statements (balance sheet, income statement, cash flow statement) are the foundation of financial modeling.

- Assumptions about future performance, such as revenue growth and expense ratios, are used to forecast future financial results.
- Sensitivity analysis is used to test how changes in assumptions affect the model's output.
- Analogy: Building a financial model is like constructing a house. The financial statements are the foundation, the assumptions are the blueprint, and the sensitivity analysis is the stress test to ensure the house can withstand different conditions.
- Anticipated Learner Questions:
 - Q: What is the difference between a financial model and a financial statement?
 - A: A financial statement is a historical record of a company's financial performance, while a financial model is a forward-looking representation of a company's financial situation.
 - Q: How do you determine the assumptions used in a financial model?
 - A: Assumptions are based on historical data, industry trends, and management's expectations for future performance.

Energizer/Break (0:40-0:45)

Take a short break to refresh and recharge. Ask learners to think about a time when they had to make a financial decision, such as buying a car or investing in a stock. How did they use data and assumptions to inform their decision?

Role of Financial Modeling in Corporate Finance and Investment (0:45-1:05)

- Talking Points:
 - Financial models are used to evaluate investment opportunities, such as mergers and acquisitions.
 - They are also used to assess the potential impact of different business strategies, such as expanding into new markets.
 - Financial models can help companies identify areas for cost reduction and improve their overall financial performance.
 - Example: A company considering an acquisition might use a financial model to evaluate the potential return on investment and determine whether the acquisition is likely to increase shareholder value.
- Anticipated Learner Questions:
 - Q: How do financial models support investment decisions?
 - A: Financial models provide a framework for evaluating investment opportunities and assessing the potential risks and returns.
 - Q: Can financial models be used in other areas of business, such as marketing or operations?
 - A: Yes, financial models can be used to support decision-making in a variety of areas, including marketing and operations.

Conclusion and Q&A (1:05-1:25)

Summarize the key points covered in the session and ask learners to reflect on what they have learned. Encourage learners to ask questions and engage in a discussion about the role of financial modeling in corporate finance and investment.

Final Thoughts and Next Steps (1:25-1:30)

Provide learners with additional resources for further learning, such as books or online courses. Encourage learners to practice building their own financial models and to seek out opportunities to apply their skills in real-world settings. Thank learners for their participation and engagement throughout the session.